

on that article. It may or may not resemble actual Wolfe waves, and it certainly doesn't include the proprietary information he provides in his course.

I tested the chart pattern using the usual method of gauging the drop to the ultimate low. However, that's not how the pattern is traded. I'll test some of his ideas later in Trading Tactics. Using my traditional gauges, the breakeven failure rate is high in bull markets, 30%, but less than half that in bear markets.

The average decline is unimpressive at 12% (bull market) and 19% (bear market), which is why the performance rank is almost last in both markets (where a rank of 1 is best). The ability of the pattern to reach its target falls well short of what we see for other chart pattern types.

However, for swing traders, this chart pattern may interest you. Let's look at some examples.

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[Figure 75.1](#) shows an example of a bearish Wolfe wave. Price began a long uptrend starting from lows in September and October. When the Wolfe wave formed at the start of the New Year, you might think that the stock would want to take a rest after such a steep climb (a near double). I find that determining when an uptrend will end is always hard because they last longer than I expect. Wolfe-wavers might say it's not difficult to spot a trend end because of the appearance of the Wolfe wave at turns 1 through 5.

Price peaked at turn 1 and sent price lower to 2. Then the stock recovered to make a new high at 3, followed by a higher low at 4. All of that suggests an uptrend continuing: higher highs and higher lows, but at a diminished pace.

Even when point 5 appeared, everything looked good for a resumption of the uptrend. The high at 5 was above peak 3. In fact, a line drawn across the peaks formed a trendline with three touches. Connecting another trendline joining valleys 2 and 4 forms what I call a rising wedge. It's also a Wolfe wave.